

- Many of our readers get confused between 'Expenses' and 'Investments'. So, make sure, you do not count your investments in your Expenses sheet. As an example, if you are doing a SIP every month for ₹5,000/-, then this is not a monthly expense for you. Rather, this is a 'investment'.
- Your EMIs (whether for Home, Vehicle, Personal Loan, etc.) or your premium payments (Health, Life Insurance, etc.) are all a part of your expenses. However, if some of your loans and premiums are getting over in the short term (less than 5 years), then you NEED NOT include them in your Expenses sheet. (We will handle them in Step 2 of Financial Freedom while calculating Liabilities).

Now that you know your average monthly expenses (cash outflow), it is time to monitor the inflow, and hope that the income is significantly more than the expenses. It is now time to face the reality.

Establish Cash Inflow

Now, we take another excel sheet to write down the incoming cash flow from every possible source of income. Please take care to calculate and write down an amount for income heads for which you are fairly certain that the income will continue to come in for at least the next few years. If you are salaried, then it is extremely straightforward, and if you are an entrepreneur or a business owner, then you need to make a fair assumption of the income that your business generates per month.

Again, be as realistic as possible to how much you can really count under each head.

Possible sources of income could be:

- Monthly pay cheques after tax deduction.
- Predictable bonuses
- Rental income, in case you have any
- Business Income